Economic man

One of the assumptions that is often made by economic theories is that people making economic decisions think rationally about them, and weigh up all the pros and cons. The theories are based on a sort of ideal “economic man” who represents the way that we all act when deciding whether to buy or sell something, or to save or invest our money. This ideal economic man also has access to all the necessary information, which he can use to come to a decision logically. But, of course, this ideal person doesn’t exist and real people don’t behave in a purely rational and calculating way. Rather than tell us that we ought to make decisions in a certain way, some economists have tried to find out how we actually do make them.